

Budweiser APAC (1876.HK)

2Q26 Earnings Review: Committed to China volume recovery which still takes time and continued investing; strong execution in Korea/India

1876.HK

12m Price Target: **HK\$7.70**Price: **HK\$7.05**Upside: **9.2%**

Bud APAC reported 2Q26 results with better-than-feared sales/EBITDA and reported NP beating VA consensus on ASP/ETR/D&A saving on 30 July, and notably, with ASP positive at 2% vs. volume decline at -4.1% yoy at group level (strong India and South Korea outperforming industry, partially offsetting China decline). We attended the earnings call today and will host an NDR next week. The management team mentioned key priorities for 2026E/2H26E, with **stabilizing China volume growth as well as recovering leading market share position as the top priority while acknowledging a still challenging macro backdrop**. The company will continue to invest in brand equity/premiumization/healthy products/in-home and O2O channels (strong DD% growth in 2Q26) expansion, and new consumption occasions with more consumer interactions, amid volatility in macro/weather/consumer sentiments. **Mgmt team expects 2026 China recovery to still take time: 1) the company was cautious on near-term demand recovery, noting that industry volume still remained soft in Jul with limited improvement for on-trade beer consumption in 2Q26, and mgmt team remains cautious for 3Q26 which will likely still be focusing on channel inventory optimization; 2) the company will keep investing in brand equity in China** for in-home/O2O channels and ongoing premiumization with stronger focus on execution. O2O growing at strong DD% in 2Q26 driven by premium SKUs and packaging innovation, and **3) the company will also aim to maintain disciplined channel inventory**, with likely a bit more adjustment into 2H26 (tier 1/ tier 2 inventory level still see room to optimization per mgmt). Therefore, we also expect profitability to see some pressure in 2H in China given **1) raw material costs headwinds to kick in going into 2H26/2027 given company's 1-yr hedging cycle**, especially Aluminum (Aluminum price up by 19% yoy in 1H26 per our cost tracker, July TD +23% vs. 2025 Ave, or up 11% yoy) despite some cost savings in Barely. **2) mix shift to O2O**

 **BUY**

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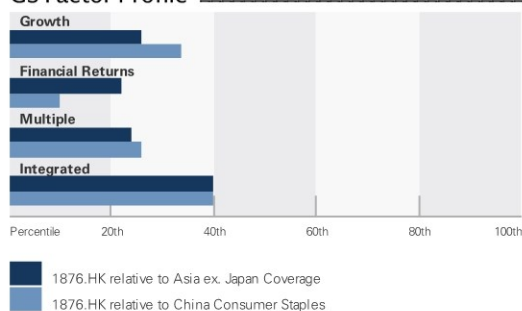
Key Data

Market cap: HK\$93.1bn / \$11.9bn
Enterprise value: HK\$74.1bn / \$9.5bn
3m ADTV: HK\$122.3mn / \$15.6mn
China
China Consumer Staples
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (\$ mn)	5,764.0	5,839.4	6,132.8	6,405.3
EBITDA (\$ mn)	1,588.0	1,511.9	1,593.3	1,700.5
EPS (\$)	0.04	0.05	0.05	0.06
P/E (X)	28.4	18.2	16.9	15.4
P/B (X)	1.4	1.2	1.2	NM
Dividend yield (%)	5.0	4.6	5.0	0.0
N debt/EBITDA (ex lease,X)	(1.6)	(1.7)	(1.8)	(1.8)
CROCI (%)	6.9	6.9	7.0	7.3
FCF yield (%)	4.6	5.6	7.0	7.5
	3/26	6/26	9/26E	12/26E
EPS (\$)	0.02	0.02	0.01	(0.00)

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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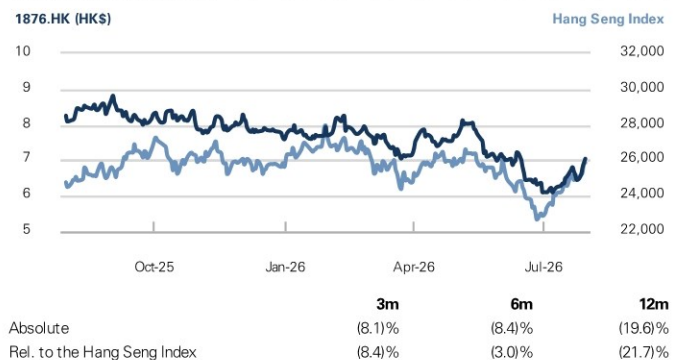
Rating since Oct 25, 2019

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	28.4	18.2	16.9	15.4
P/B (X)	1.4	1.2	1.2	NM
FCF yield (%)	4.6	5.6	7.0	7.5
EV/EBITDAR (X)	7.2	6.3	5.8	5.3
EV/EBITDA (excl. leases) (X)	7.2	6.3	5.8	5.3
CROCI (%)	6.9	6.9	7.0	7.3
ROE (%)	4.8	6.4	6.8	7.4
Net debt/equity (%)	(24.7)	(24.5)	(26.9)	(29.3)
Net debt/equity (excl. leases) (%)	(24.7)	(24.5)	(26.9)	(29.3)
Interest cover (X)	24.7	24.3	26.6	29.5
Days inventory outst, sales	22.8	21.6	21.2	21.3
Receivable days	31.7	31.3	30.2	30.4
Days payable outstanding	275.2	260.2	248.9	249.4
DuPont ROE (%)	4.7	6.3	6.7	7.2
Turnover (X)	0.4	0.4	0.4	0.4
Leverage (X)	1.4	1.4	1.4	1.4
Gross cash invested (ex cash) (\$)	17,208.8	17,787.8	18,262.2	18,756.4
Average capital employed (\$)	7,677.0	7,785.1	7,741.8	7,641.3
BVPS (\$)	0.77	0.77	0.78	0.00

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(7.7)	1.3	5.0	4.4
EBITDA growth	(12.1)	(4.8)	5.4	6.7
EPS growth	(32.8)	33.6	7.6	9.4
DPS growth	(6.4)	(21.1)	7.6	9.4
EBIT margin	17.1	16.3	16.6	17.3
EBITDA margin	27.6	25.9	26.0	26.5
Net income margin	8.5	11.2	11.5	12.0

Price Performance

Source: FactSet. Price as of 30 Jul 2026 close.

Income Statement (\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	5,764.0	5,839.4	6,132.8	6,405.3
Cost of goods sold	(2,877.0)	(2,912.3)	(3,064.8)	(3,200.9)
SG&A	(1,986.0)	(2,044.7)	(2,125.3)	(2,176.3)
R&D	0.0	0.0	0.0	0.0
Other operating inc./exp.)	85.0	66.7	73.4	80.1
EBITDA	1,588.0	1,511.9	1,593.3	1,700.5
Depreciation & amortization	(602.0)	(562.8)	(577.2)	(592.3)
EBIT	986.0	949.1	1,016.1	1,108.2
Net interest inc./exp.)	10.0	13.8	19.8	26.4
Income/(loss) from associates	38.0	39.9	41.9	44.0
Pre-tax profit	951.0	992.7	1,067.8	1,168.6
Provision for taxes	(431.0)	(297.8)	(320.3)	(350.6)
Minority interest	(31.0)	(41.4)	(44.6)	(48.8)
Preferred dividends	—	—	—	0.0
Net inc. (pre-exceptionals)	489.0	653.5	702.9	769.2
Post-tax exceptionals	177.0	10.0	10.0	10.0
Net inc. (post-exceptionals)	666.0	663.5	712.9	779.2
EPS (basic, pre-exception) (\$)	0.04	0.05	0.05	0.06
EPS (diluted, pre-exception) (\$)	0.04	0.05	0.05	0.06
EPS (basic, post-exception) (\$)	0.05	0.05	0.05	0.06
EPS (diluted, post-exception) (\$)	0.05	0.05	0.05	0.06
DPS (\$)	0.05	0.04	0.04	0.05
Div. payout ratio (%)	143.1	85.0	85.0	85.0

Balance Sheet (\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,828.0	2,724.1	3,015.1	3,331.1
Accounts receivable	505.0	495.2	520.8	546.5
Inventory	343.0	347.2	365.4	381.6
Other current assets	139.0	139.0	139.0	139.0
Total current assets	3,815.0	3,705.4	4,040.3	4,398.2
Net PP&E	2,379.0	2,300.7	2,220.9	2,141.0
Net intangibles	7,607.0	7,597.0	7,587.0	7,577.0
Total investments	525.0	564.9	606.8	651.8
Other long-term assets	447.0	447.0	447.0	447.0
Total assets	14,773.0	14,615.0	14,901.9	15,213.9
Accounts payable	2,111.0	2,040.7	2,139.5	2,234.6
Short-term debt	217.0	134.2	134.0	133.8
Short-term lease liabilities	—	—	—	—
Other current liabilities	1,509.0	1,509.0	1,509.0	1,509.0
Total current liabilities	3,837.0	3,683.9	3,782.5	3,877.3
Long-term debt	60.0	60.1	56.5	53.2
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	548.0	548.0	548.0	548.0
Total long-term liabilities	608.0	608.1	604.5	601.2
Total liabilities	4,445.0	4,292.1	4,387.0	4,478.5
Preferred shares	—	—	—	1.0
Total common equity	10,262.0	10,215.5	10,362.9	10,534.7
Minority interest	66.0	107.4	152.0	200.8
Total liabilities & equity	14,773.0	14,615.0	14,901.9	15,213.9
Net debt, adjusted	(2,551.0)	(2,529.7)	(2,824.5)	(3,143.1)

Cash Flow (\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	489.0	653.5	702.9	769.2
D&A add-back	602.0	562.8	577.2	592.3
Minority interest add-back	31.0	41.4	44.6	48.8
Net (inc)/dec working capital	(219.0)	(64.6)	54.9	53.2
Other operating cash flow	48.0	(39.9)	(41.9)	(44.0)
Cash flow from operations	951.0	1,153.2	1,337.7	1,419.4
Capital expenditures	(307.0)	(474.5)	(487.4)	(502.4)
Acquisitions	(8.0)	—	—	—
Divestitures	1.0	—	—	—
Others	(10.0)	—	—	—
Cash flow from investing	(324.0)	(474.5)	(487.4)	(502.4)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(773.0)	(700.0)	(555.5)	(597.5)
Inc/(dec) in debt	40.0	(82.7)	(3.8)	(3.6)
Other financing cash flows	67.0	0.0	0.0	0.0
Cash flow from financing	(666.0)	(782.7)	(559.3)	(601.0)
Total cash flow	(39.0)	(103.9)	291.0	316.0
Free cash flow	644.0	678.7	850.3	917.0

Source: Company data, Goldman Sachs Research estimates.

channels: despite a better product mix on O2O, the channel investment/promotion remains at high level, and the company expects to drive improving profitability with scaling up for this channel. **For Korea and India**, the company is confident on its competitive advantages in both market with Korea driven by innovation/SKU expansion. India will be still driven by premiumization and penetration.

For China, we now look for -3.5% organic sales decline in FY26 driven by -5%/1.5% volume/ASP due to continued weak momentum into Jul while premiumization still intact. We look for -12.1% organic EBITDA decline in China in 2026 with slightly yoy lower margin at 31.4% mainly on higher commercial investment in O2O/in-home channels and raw material cost headwinds to kick in since 3Q26. Into 3Q26, we expect volume to still under pressure at -8% yoy decline, with 2.8% ASP growth but a -13% EBITDA decline on continued investment, followed by a -1%/5%/8% volume/ASP/EBITDA growth in 4Q26 lapping easy comp. **For India** which is about **10% of AP West volume on GSE**, we expect continued strong momentum with sufficient room for revenue growth and EBITDA margin expansion. **For AP East/South Korea**, we expect EBITDA growth of c.3.5% yoy with 0.1% ASP growth (both organic) for AP East in 2026. We expect -2% volume decline in 3Q26, with -1% ASP on a high comp, followed by a 1.3%/-0.6%/+4% volume/ASP/EBITDA 4Q26. **At the Group level**, we look for -1.9% sales decline driven by -4.1% volume decline and 2.3% ASP increase in 3Q26 with organic EBITDA decline of 8.9%, due to mix upgrade in China/India while cautious on volume recovery pace.

Dividend: The company is noting currently still low visibility on payout ratio % target for the full-year, with key priorities on cash flow deployment toward investments in restoring volume growth. That said, the company still remains committed to shareholder returns in the long term.

Estimates and TP: We revise down our 2026E-28E sales estimates by within 1% mainly on better ASP trend in APW likely on better-than-feared O2O/off-trade promotions and more favorable brand mix, offset by softer volume on continued de-stocking. **Our NP forecast is up 0.1-6%** mainly reflecting 2Q26 NP beat/lower ETR/D&A expense, as well as better ASP assumption for China. We currently expect US\$5.83 bn/US\$1.51bn/US\$663mn sales/normalized EBITDA/recurring NPAT in 2026E. The stock is trading at c.19x/17x 2026/2027 P/E; and trading at 2026/27E 6.2x/5.6x EV/EBITDA vs. global peers average at 9x/8x, with FCF yield at 5.2%/6.4% in 2026E/2027E. **Our 12-m TP is up to HK\$7.7 vs. HK\$7.6 prior**, with other assumptions unchanged.

The authors would like to thank Lily Qi for her contribution to this report.

Exhibit 2: Forecasts Revisions - New vs Old

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USD mn	New			Old			Change%		
Key drivers	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Volumes ('000 KL)									
AP East	1,180	1,194	1,205	1,177	1,191	1,203	0.2%	0.2%	0.2%
AP West	6,622	6,949	7,296	6,812	7,130	7,443	(2.8%)	(2.5%)	(2.0%)
Total	7,802	8,143	8,502	7,989	8,321	8,647	(2.3%)	(2.1%)	(1.7%)
ASP (USD/ltr) -after forex									
AP East	1.08	1.10	1.13	1.07	1.09	1.12	0.7%	0.9%	1.0%
AP West	0.69	0.69	0.69	0.68	0.68	0.68	1.2%	1.4%	1.1%
Total	0.75	0.75	0.75	0.74	0.74	0.74	1.3%	1.5%	1.2%
Sales -after forex									
AP East	1,271	1,315	1,363	1,259	1,301	1,347	0.9%	1.1%	1.1%
AP West	4,568	4,818	5,043	4,645	4,876	5,091	-1.6%	-1.2%	-0.9%
Total	5,839	6,133	6,405	5,904	6,177	6,438	-1.1%	-0.7%	-0.5%
Normalized EBITDA									
AP East	386	399	417	379	400	425	1.7%	-0.1%	-1.8%
AP West	1,126	1,194	1,283	1,172	1,272	1,397	-3.9%	-6.2%	-8.2%
Total	1,512	1,593	1,700	1,551	1,672	1,822	-2.5%	-4.7%	-6.7%
Organic volume growth									
AP East	-0.1%	1.1%	0.9%	-0.4%	1.1%	1.0%	0.2%	0.0%	-0.1%
AP West	-2.4%	4.9%	5.0%	0.4%	4.7%	4.4%	-2.8%	0.3%	0.6%
China	-5.0%	3.0%	2.8%	-1.6%	3.0%	2.5%	-3.4%	0.0%	0.3%
Total	-2.1%	4.4%	4.4%	0.3%	4.1%	3.9%	-2.4%	0.2%	0.5%
Organic ASP growth									
AP East	0.1%	2.3%	2.7%	0.9%	2.2%	2.6%	-0.8%	0.2%	0.1%
AP West	2.3%	1.6%	0.9%	0.7%	1.4%	1.2%	1.6%	0.2%	-0.3%
China	1.5%	1.2%	0.3%	-0.2%	0.9%	0.4%	1.8%	0.3%	-0.1%
Total	2.0%	1.5%	1.0%	0.7%	1.4%	1.3%	1.3%	0.2%	-0.2%
Normalized EBITDA growth									
AP East	3.5%	3.5%	4.5%	2.0%	5.4%	6.3%	1.5%	-1.8%	-1.8%
AP West	-10.7%	5.8%	7.2%	-7.3%	8.3%	9.4%	-3.4%	-2.5%	-2.3%
China	-12.1%	4.7%	5.5%	-9.2%	6.5%	8.0%	-2.9%	-1.8%	-2.5%
Total	-7.2%	5.2%	6.5%	-5.0%	7.6%	8.7%	-2.2%	-2.4%	-2.2%
Normalized EBITDA margin									
AP East	30.3%	30.4%	30.6%	30.1%	30.7%	31.5%	0.2%	-0.4%	-0.9%
AP West	24.7%	24.8%	25.4%	25.2%	26.1%	27.4%	-0.6%	-1.3%	-2.0%
China	31.4%	31.5%	32.1%	31.7%	32.4%	33.8%	-0.4%	-1.0%	-1.7%
Total	25.9%	26.0%	26.5%	26.3%	27.1%	28.3%	-0.4%	-1.1%	-1.8%
USD mn	New			Old			Change%		
Consolidated P&L	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Sales	5,839	6,133	6,405	5,904	6,177	6,438	(1.1%)	(0.7%)	(0.5%)
COGS	-2,912	-3,065	-3,201	-2,953	-3,071	-3,181	(1.4%)	(0.2%)	0.6%
Gross Profit	2,927	3,068	3,204	2,951	3,106	3,257	(0.8%)	(1.2%)	(1.6%)
SG&A	-2,045	-2,125	-2,176	-2,064	-2,126	-2,154	(0.9%)	(0.0%)	1.0%
Distribution expenses	-447	-457	-464	-446	-454	-460	0.2%	0.6%	0.9%
Sales and marketing expenses	-1,148	-1,215	-1,257	-1,164	-1,215	-1,237	(1.3%)	(0.0%)	1.6%
Administrative expenses	-450	-454	-455	-455	-457	-457	(1.1%)	(0.7%)	(0.5%)
Other operating income/(expense)	67	73	80	71	78	85	(5.8%)	(5.9%)	(5.8%)
EBIT	939	1,006	1,098	948	1,048	1,178	(0.9%)	(4.0%)	(6.8%)
Normalized EBIT	949	1,016	1,108	958	1,058	1,188	(0.9%)	(3.9%)	(6.7%)
Depreciation	-511	-525	-540	-539	-559	-579	(5.1%)	(6.1%)	(6.8%)
Amortization	-52	-52	-52	-55	-55	-55	(5.5%)	(5.5%)	(5.5%)
EBITDA	1,502	1,583	1,690	1,541	1,662	1,812	(2.6%)	(4.7%)	(6.7%)
Normalized EBITDA	1,512	1,593	1,700	1,551	1,672	1,822	(2.5%)	(4.7%)	(6.7%)
Net finance costs	14	20	26	14	20	26	0.0%	0.0%	0.0%
Associate & JVs	40	42	44	40	42	44	0.0%	0.0%	0.0%
Pretax income	993	1,068	1,169	1,002	1,109	1,248	(0.9%)	(3.8%)	(6.4%)
Provisions for taxes	-298	-320	-351	-346	-383	-431	(13.8%)	(16.3%)	(18.6%)
Minority interest (I/S item)	-41	-45	-49	-39	-43	-49	5.9%	2.9%	0.1%
Reported NPAT	653	703	769	617	683	769	5.9%	2.9%	0.1%
Non-recurring	-10	-10	-10	-10	-10	-10	0.0%	0.0%	0.0%
Adjusted NPAT	663	713	779	627	693	779	5.8%	2.8%	0.1%
YoY Growth %									
Sales	1.3%	5.0%	4.4%	2.4%	4.6%	4.2%			
EBIT	4.0%	7.1%	9.2%	5.0%	10.5%	12.4%			
EBITDA	-4.8%	5.4%	6.7%	-2.3%	7.8%	9.0%			
NPAT	33.6%	7.6%	9.4%	26.2%	10.8%	12.5%			
Adjusted NPAT	-0.4%	7.4%	9.3%	-5.9%	10.6%	12.3%			
Margins									
GP	50.1%	50.0%	50.0%	50.0%	50.3%	50.6%	0.1%	-0.3%	-0.6%
EBIT	16.1%	16.4%	17.1%	16.1%	17.0%	18.3%	0.0%	-0.6%	-1.1%
NPAT	11.2%	11.5%	12.0%	10.4%	11.1%	11.9%	0.7%	0.4%	0.1%
Adjusted NPAT	11.4%	11.6%	12.2%	10.6%	11.2%	12.1%	0.7%	0.4%	0.1%
EBITDA Margin	25.7%	25.8%	26.4%	26.1%	26.9%	28.1%	-0.4%	-1.1%	-1.8%
D&A/Sales	-9.6%	-9.4%	-9.2%	-10.1%	-9.9%	-9.9%	-0.4%	-0.5%	-0.6%
SG&A/Sales	-35.0%	-34.7%	-34.0%	-35.0%	-34.4%	-33.5%	0.1%	0.2%	0.5%
Selling expense ratio	-19.7%	-19.8%	-19.6%	-19.7%	-19.7%	-19.2%	0.0%	0.1%	0.4%
Admin exp ratio	-7.7%	-7.4%	-7.1%	-7.7%	-7.4%	-7.1%	0.0%	0.0%	0.0%
Effective tax rate (%)	-30.0%	-30.0%	-30.0%	-34.5%	-34.5%	-34.5%	-4.5%	-4.5%	-4.5%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Budweiser APAC

Price Target Risks and Methodology - Budweiser APAC

Valuation methodology: Our 12-m TP of HK\$7.7 is based on 19x 2028E P/E discounted 1.5 years back to mid-2027E at an 8.5% COE.

Risks: 1) Weaker-than-expected premium channel recovery; 2) More intense China competition; 3) Cost inflation.

Disclosure Appendix

Reg AC

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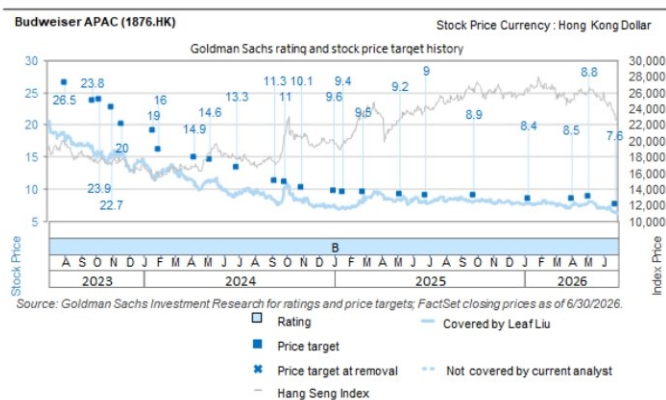
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Target price history table(s)

Budweiser APAC (1876.HK)

Date of report Target price (HK\$) Closing price (HK\$)

26-Jun-26	7.60	6.32
05-May-26	8.80	8.13
02-Apr-26	8.50	7.55
09-Jan-26	8.40	7.78
26-Sep-25	8.90	8.05
26-Jun-25	9.00	8.03
08-May-25	9.20	8.31
26-Feb-25	9.50	8.66
18-Jan-25	9.40	7.19
01-Jan-25	9.60	7.49
31-Oct-24	10.10	8.11
28-Sep-24	11.00	10.14
10-Sep-24	11.30	8.17
28-Jun-24	13.30	9.20
08-May-24	14.60	11.00
07-Apr-24	14.90	11.22
31-Jan-24	16.00	12.28
19-Jan-24	19.00	12.08
21-Nov-23	20.00	15.56
01-Nov-23	22.70	14.96
08-Oct-23	23.90	15.60
25-Sep-23	23.80	16.12
03-Aug-23	26.50	17.50

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